FNCE 30007 DERIVATIVE SECURITIES

Tutorial 2 Questions: Hedging with Forwards and Futures

Question 1

Does a perfect hedge always succeed in locking in the current spot price of an asset for a future transaction? Explain your answer.

Question 2

Explain why a short hedger's position improves when the basis strengthens unexpectedly and worsens when the basis weakens unexpectedly.

Question 3

Imagine you are the treasurer of a Japanese company exporting electronic equipment to the U.S. Discuss how you would design a foreign exchange hedging strategy and the arguments you would use to sell the strategy to your fellow executives.

Question 4

"For an asset where futures prices are usually less than spot prices, long hedges are likely to be particularly attractive." Explain this statement.

Question 5

A corn farmer argues: "I don't use futures contracts for hedging. My real risk is not the price of corn. It is my whole crop gets wiped out by the weather." Discuss this viewpoint. Should the farmer estimate his or her expected production of corn and hedge to try to lock in a price for expected production?

Question 6

On July 1, an investor holds 50,000 shares of a certain stock. The market price is $30 per share. The investor is interested in hedging against movements in the market over the next month and decides to use the September Mini S&P 500 futures contract. The index is currently 1,500 and one contract is for delivery of $50 times the index. The beta of the stock is 1.3 (where beta is computed against the S&P 500 index value). What strategy should the investor follow to achieve the minimum variance hedge ratio?

Question 7

After reading the Hershey case discussed in the lecture, think about and answer the following two questions.

7.1 In 2024, Hershey reported substantial gains from commodity derivatives while cocoa prices were rising sharply. Does this mean that Hershey's hedging program was designed to generate profits? Explain your answer.

7.2 Although cocoa prices had fallen substantially by 2026, why might Hershey still face significant cocoa-related costs or report losses on some commodity derivative positions?